

ket risk for parties exposed to the sector. This translates to a higher cost of doing business, which means cost escalations, lower margins and higher airfares,” avers the aviation consultant quoted earlier. This might even have an impact on the way Indians travel. “The short-term impact is increased fares and increased anxiety about the availability of tickets at reasonable prices. Also, passengers might have to plan trips much in advance. And for those who would have booked their tickets through Go First, they will have to rework their itinerary as well,” says Jagannarayan Padmanabhan, Senior Director at CRISIL Market Intelligence.

Importantly, there’s an unease about India that has been playing in global aviation circles for a while, and Go First’s case has made them queasier.

### LOCAL TROUBLE, GLOBAL IMPACT

With a series of bad precedents, airline defaults, red tape and a low credit rating, lessors and financiers have long perceived India as a risky market to do business in. In leasing circles, a closely knit group that is forever cautious about deploying assets in places deemed even remotely treacherous, conversations often happen about how many of their ilk lost their aircraft assets in India after many private airlines folded up in the post-liberalisation era in the late 1990s. Even in 2012, the US-based International Lease Finance Corp. (ILFC) didn’t have a very pleasant experience while repossessing aircraft from Kingfisher Airlines.

And now, the NCLT moratorium seems to have dented India’s image further. Plus, ever since its bankruptcy news broke, the story of Go First vs P&W has taken on the hues of a modern-day David vs Goliath battle. “This narrative might be great for domestic consumption and great if Indian carriers would be happy to rely on Russian and Chinese aircraft in the future,” an international lease financing expert tells *BT* caustically over the phone. “However, nobody seems to be asking why western lessors should take a country risk on India in the future. Okay, you might get to keep my aircraft for now, but then why would I or any of my peers put aircraft here going forward?” The perception of higher risk may result in the lease rent factor (LRF) on leased aircraft going up from 0.65 per cent currently to 1.10 per cent, depending on aircraft type, airline, terms of the contract, etc. “Furthermore, lessors may ask for higher deposits or, in the case of financing, banks, including export credit agencies, may demand higher processing fees, higher interest, lower term, lower loan-to-value or a combination of all the above,” says the airline CEO quoted earlier.

“With all these shenanigans happening and neither the ministries of law nor civil aviation intervening, this may very well mark the end of the growth phase in Indian aviation. If

these questions are not resolved, in another six months’ time, India will have to reopen bilateral flights for Middle Eastern airlines because we won’t be able to meet the outbound demand!” exclaims an alarmed industry veteran Shakti Lumba. Such unease with India could have been pre-empted had Parliament ratified the Cape Town Convention Bill pending since 2018. Concluded way back in 2001, the primary aim of the Cape Town Convention and Protocol is to resolve the challenge of obtaining certain and unopposable rights to high-value assets such as airframes, aircraft engines and helicopters that, by their very nature, have no fixed location. While India became a contracting state to the Convention in 2008, some of its provisions are in conflict with the country’s bankruptcy laws. Interestingly, India today stands alongside Afghanistan and South Africa among only three nations that have not aligned their legal framework with it.

The overarching legal opinion is that the Convention must become law. “Overseas lessors and financiers would wish India to be a fully Cape Town Convention and Protocol-compliant country. Also, the economic benefit which will flow from the legislation is that it would make India eligible to be placed on the Organization for Economic Development and Cooperation (OECD) discount eligibility list for the signatories,” emphasises Ajay Kumar, Managing Partner at law firm KLA Legal. “Aviation is a global industry; in many other industries, one can do with the peculiarities of the way business is done in India. Not in aviation. We have to align our laws with the rest of the world,” says the industry insider in agreement.

As the Go First case plays out over the coming weeks and months, it is important for India to ensure that it doesn’t dent the larger goal of the country’s aviation industry to become a comprehensive, globally connected ecosystem of aviation-related services. **BT**

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